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FX Forecast Update

USD rebound is temporary

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FX market overview

Recent developments: market stabilisation and easing geopolitical uncertainty

- Since our last FX Forecast Update, 23 June, global risk appetite has stabilised further, in large driven by strong economic data, solid earnings, and easing geopolitical uncertainty. The global economy remains resilient, as reflected in equities rallying, and oil prices have returned to pre-escalation levels in terms of the Middle East. Credit spreads, which widened during the period of heightened tensions, have also tightened. The USD has staged a modest summer comeback, supported by the upward trajectory of US real rates despite renewed debates over the Fed's independence. The passing of the US fiscal bill in Congress resulted in a muted market reaction with two-sided effects on the USD, reducing US recession risks but adding uncertainty over long-term fiscal financing.

FX implications: USD stabilised and challenges for Scandies

- Over the past month, EUR/USD has remained stable, trading in the 1.16-1.18 range. Scandies have struggled in the current environment, with worse summer liquidity contributing to a broader selloff. SEK has been weighed down by weak growth, high inflation, and tightening liquidity, while NOK has faced pressure from falling oil prices, narrowing rate differentials, and spillover effects from Sweden. EUR/GBP has edged higher, driven by increasing signs of weakness in the UK economy, particularly in the labour market. CEE currencies have emerged as this month's relative winners.

Outlook: bullish on EUR/USD and bearish on Scandies

- We are still bullish on EUR/USD in both the near- and medium term, targeting a gradual move toward 1.23 over a 12M horizon. While EU-US trade negotiations may introduce near-term volatility, long-term drivers such as relative rates, capital flows into European assets, and global monetary conditions continue to support the cross. For EUR/NOK, we see the case for a very-near-term stabilisation but maintain an upward-sloping profile with estimates slightly raised towards 12.40 over the next 12 months. Structural SEK headwinds from equity outflows persist, despite potential near-term support from the Riksbank's September rate decision. As a result, we maintain a positively sloping profile for EUR/SEK.

Key risk to our forecasts: greater downside risk to USD than entailed in our projections

- Risks to our forecasts are predominantly tied to the US outlook. If the capital rotation out of US assets continues and a sharp US recession hits, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Conversely, persistent resilient US data could keep the USD stronger-for-longer.

Contents

FX market overview 2
EUR/USD 3
EUR/SEK 4
EUR/NOK 5
EUR/DKK 6
EUR/GBP 7
USD/JPY 8
EUR/CHF | EUR/PLN 9
AUD/USD | USD/CAD 10
USD/CNY 11
Oil 12
Danske Bank FX forecasts vs EUR 13
Danske Bank FX forecasts vs DKK 14
Danske Bank FX forecasts vs SEK 15
Danske Bank FX forecasts vs NOK 16
Danske Bank FX forecasts vs USD 17
Danske Bank FX forecasts vs GBP 18
Disclosure and disclaimer 19

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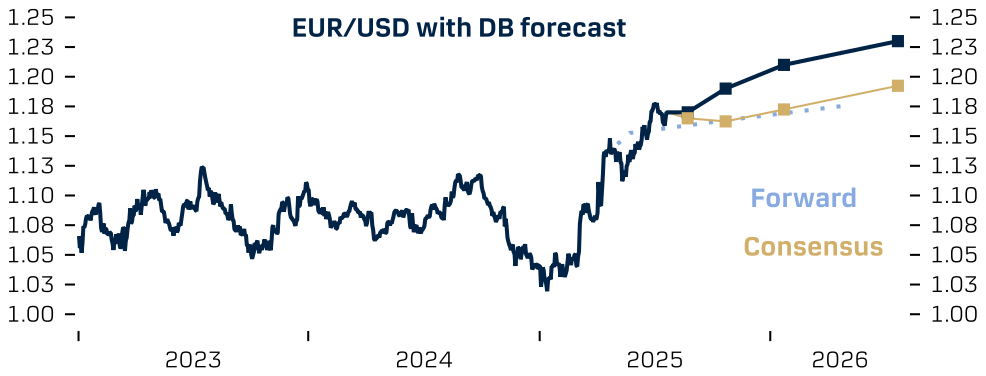
EUR/USD – only the beginning of its trend higher

- **Cyclical outlook.** The US economy continues to display cyclical resilience with solid indicators for the service- and manufacturing sectors and robust labour market conditions, as underscored by the June jobs report. Structurally, the backdrop remains on a cooling trajectory, with slowing immigration constraining labour supply and firms appearing to scale back on hiring. On inflation, the June print landed close to expectations in both headline and core terms and there continues to be little evidence for strong broad-based tariff-driven inflation. Market-based inflation expectations have risen following the passing of Trump's 'Big Beautiful Bill' and renewed tariff threats. In the euro area, the service sector is showing tentative signs of weakness, and we expect growth to remain muted and below potential through the remainder of the year. The June inflation print rose back up to 2% driven by base effects in energy prices while overall price pressures remain contained.
- **Monetary policy.** The Fed left rates unchanged in June, as expected, and maintained its 'wait-and-see' stance amid elevated uncertainty. We continue to forecast rate cuts in September and December, followed by three additional cuts in 2026, bringing the terminal rate to 3.00–3.25%. The ECB is expected to keep rates unchanged in July with markets split on a September cut, where we expect a final 25bp cut.
- **External balances.** Fundamentally, the case for 'US exceptionalism' is fading, leaving the greenback increasingly exposed.
- **Valuation.** We estimate EUR/USD fair value over a 1–3Y horizon to be just above 1.20, making valuation a structural tailwind for the cross. Key factors to watch include potential structural capital rotation out of US assets, the evolving global energy landscape, and euro area fiscal policy.
- **Positioning.** CFTC IMM data shows that non-commercial EUR/USD positioning is broadly neutral from a historical perspective.

Forecast: 1.17 (1M), 1.19 (3M), 1.21 (6M), 1.23 (12M)



	1M	3M	6M	12M
Danske Bank	1.17	1.19	1.21	1.23
Consensus	1.17	1.16	1.17	1.19
Forward	1.17	1.18	1.18	1.20

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks to our forecast include stronger-than-expected US data (USD positive) and renewed trade-concerns/Fed less independent (USD negative).
- **Conclusion.** Following the sharp H1 rally in the cross EUR/USD has steadied during July amid a string of better-than-expected US releases. While near-term trade headlines on especially EU-US negotiations will continue to add volatility to the cross we still think the cross is in for a trajectory-trend higher aided by relative rates, a European asset market continuing its rebound and the reduced global need for contractionary monetary conditions. Also, the gradual adjustment of hedge ratios on USD assets as well as reduced confidence in US institutions are likely to remain tailwinds for the cross.

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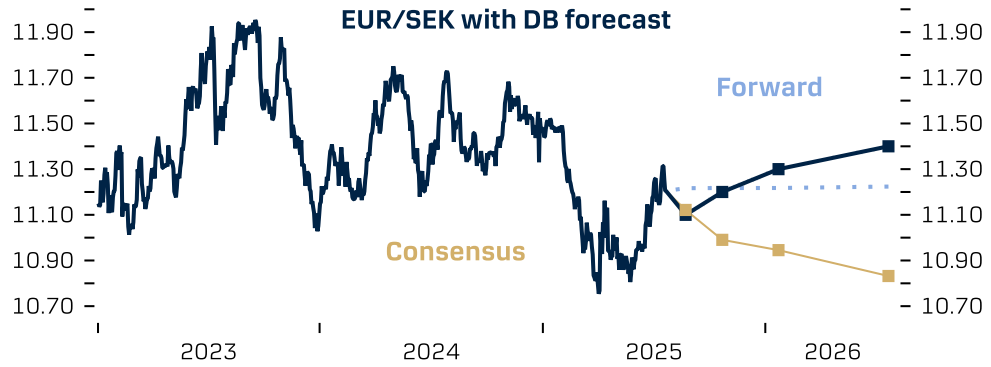
EUR/SEK – recent inflation surprise puts the Riksbank in a tough spot

- **Cyclical outlook.** Swedish growth data continues to disappoint and the surprise Q1 contraction (-0.2% q/q) is increasingly likely to be followed by another weaker-than-expected quarter. Given the Riksbank's renewed focus on economic growth, the Q2 figures (to be released 29 July) will be a key input. We continue to see the relative growth outlook as neutral for the SEK, although downside risks have mounted on the back of the stalled recovery.
- **Monetary policy.** The June cut (to 2.00%) was primarily motivated by growth concerns, as the Riksbank (RB) Board took a surprisingly relaxed view on inflation. According to the meeting Minutes, there were even discussions on the risks of an inflation undershoot over the coming years. As such, the June inflation surprise with CPIF and core inflation both overshooting the most recent RB forecast (June) by 0.4 p.p. should have come as no less than a shock to the Board. We see clear risks that inflation will linger around 3% until autumn and if that comes to pass, it will certainly put the Board in a tough spot in coming months. We keep our call for the RB to remain at 2.00% and continue to view the (relative) monetary policy outlook as neutral for the SEK.
- **Flows.** The Swedish savings-investment balance has generated net-buying of foreign equities over time. While these have long been fundamentally SEK negative (*here* and *here*), there was some evidence of a potential reversal of these flows in early 2025. Retail data showed an increase in the European and Swedish equity exposure at the expense of US equities during Q1. However, although the rotation out of the US continued in Q2, albeit at a slower pace before eventually stalling in June, we now have three consecutive months of outflows out of Swedish equities, in favour of European and global dittos. Hence, these flows still likely posit structural headwinds for the SEK.
- **Valuation**. Both our short-term (relative rates) and medium-term (relative macro) model-implied 'fair value' have converged just north of 11.00.
- **Risks.** Erratic US trade policies remain the chief global risk, whereas inflation worries amid a stalling recovery has reemerged as a domestic concern.

Forecast: 11.10 (1M), 11.20 (3M), 11.30 (6M), 11.40 (12M)



	1M	3M	6M	12M
Danske Bank	11.10	11.20	11.30	11.40
Consensus	11.12	10.99	10.95	10.83
Forward	11.22	11.22	11.22	11.22

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Summer has thus far been rather unkind to the SEK and barring a brief respite in the wake of June inflation print (July 7), EUR/SEK has spent most of July edging gradually higher. With few domestic macro triggers and thin summer markets, the SEK has primarily been in the hands of global developments and the past weeks' USD recovery. Swedish growth continues to disappoint, but the recent inflation surprise puts the RB in a tough spot. With an accumulated 15 basis points worth of cuts being priced by the September meeting, there would be some potential SEK support in the near-term should the RB opt to leave rates unchanged (as per our expectations) amid rekindled inflation concerns. However, as the Swedish savings-investment balance continues to generate net-buying of foreign equities over time, the structural SEK headwinds from equity flows seemingly persists and we stick to a positively sloping profile for EUR/SEK.

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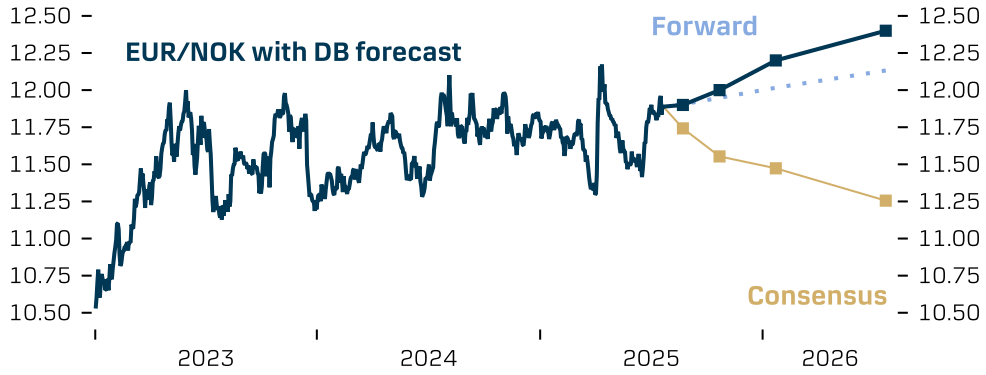
EUR/NOK – the long-term trend is (still) pointing higher

- **Cyclical outlook.** It is limited what we have received of new activity data since our last update. That, in turn, leaves an unchanged picture of an economy still operating just below potential and with a slight loosening of a tight labour market. After a long string of downside surprises the June inflation print surprised slightly to the topside. However, details revealed that the surprise was mostly down to one-offs which in turn means that we still think the disinflationary narrative is in place for H2. By extension we also think the case for more monetary policy easing remains in place and that further rate cuts have become a prerequisite for a continued recovery in the rate sensitive parts of the economy that have struggled in recent years.
- **Monetary policy.** At the June monetary policy meeting Norges Bank (NB) surprised markets by delivering its first 25bp rate cut in the cutting cycle NB now guides towards two additional cuts this year and two cuts in 2026 with the key policy rate hitting the upper end of the estimate neutral range by next summer. On eventual policy changes we pencil in two additional rate cuts this year (Sep and Dec) and 3 rate cuts in 2026 bringing the sight deposit rate to 3.0% by end-2026. In our view relative rates is set to be become a negative for NOK FX in the coming years.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB has become a marginal net NOK buyer in its daily operations as the Ukraine-support package alongside the new FX reserve transactions have flipped NB's daily interests. Fundamentally, though, it does not change our NOK view.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labour costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be neutral.

Forecast: 11.90 (1M), 12.00 (3M), 12.20 (6M), 12.40 (12M)



	1M	3M	6M	12M
Danske Bank	11.90	12.00	12.20	12.40
Consensus	11.74	11.55	11.47	11.26
Forward	11.90	11.95	12.02	12.13

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks are closely connected to the global investment environment, Trump announcements on tariffs, the risk of a US recession and any supply side developments that could impact energy prices (e.g. Iran/Israel conflict).
- **Conclusion.** NOK has been under pressure over the last month amid a combination of both tighter rate spreads to peers and falling energy prices. In the very near-term we see the case for a stabilisation in the cross as the spot on some metrics look a little overbought. However, we stress that such stall would be temporary in nature and that we still see long-term drivers in the likes of relative real rates, the relative attractiveness of asset markets and global monetary conditions as contributing factors for a trend higher in EUR/NOK. Also, any escalation in the global trade war similar to what we experienced post "Liberation Day" would be highly negative for NOK.

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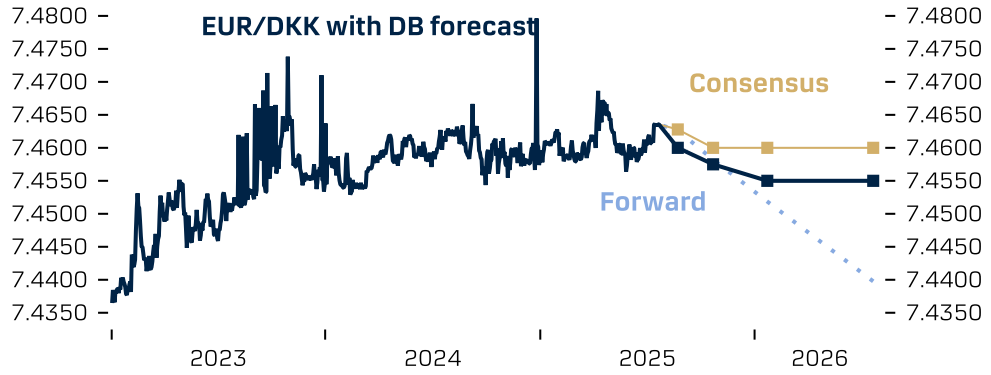
EUR/DKK – Near-term range bound

- **Cyclical outlook.** The cyclical environment has turned neutral-to-negative for EUR/DKK. Equity markets are recovering, which is negative for EUR/DKK through rebalancing effects. Development in the US and in USD/DKK, including developments in tariffs will be important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** Danmarks Nationalbank (DN) followed the ECB in June and cut its key policy rate 25bp to 1.60% thereby keeping the spread to ECB's policy rate at current -40bp. EUR/DKK trades in the middle of the historic trading range, which suggests that the current interest rate spread is adequate. We expect the ECB, and therefore also DN, to make a final cut in September, which brings the key policy rate to 1.35%. Overall, we look for DN to keep EUR/DKK in the 7.43-7.47 range using FX intervention.
- **External balances.** Denmark continues to run a large current account surplus around 11-12% of GDP with pharmaceutical exports making a big contribution to the trade surplus. The significant surplus, which materialises as a large investment need abroad.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve. Recently, the premium has declined on the back of tighter DKK liquidity conditions and a higher EUR/DKK spot.
- **Positioning.** Recent flow and hedging data from the Danish central bank showed that the domestic life and pension sector increased its USD hedge sharply this year. This was 72% in May. The sector has maintained its EUR hedge ratio. If the sector increases hedge ratios further, it will weigh further on EUR/DKK.

Forecast: 7.4600 (1M), 7.4575 (3M), 7.4550 (6M), 7.4550 (12M)



	1M	3M	6M	12M
Danske Bank	7.4600	7.4575	7.4550	7.4550
Consensus	7.4628	7.4600	7.4600	7.4600
Forward	7.4626	7.4582	7.4519	7.4398

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. The fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light.
- **Conclusion.** We look for EUR/DKK to trade around 7.4600 level near-term as global risk sentiment is likely to stay fragile. We see potential for fundamentals and positioning to drag it further down towards 7.4550 level on 12M. Liquidity conditions, which have been very tight so far this year, are beginning to show signs of improvement. This has pushed FX forwards down (to the left).

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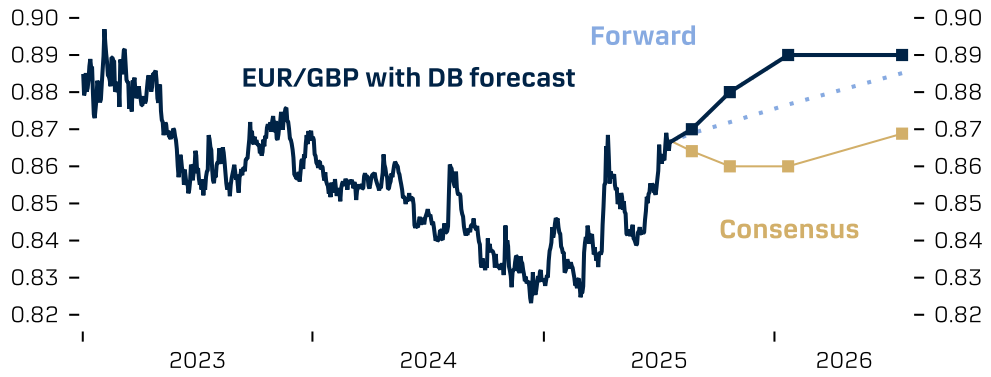
EUR/GBP – weakness in store for GBP

- **Cyclical outlook.** The cyclical backdrop continues to show signs of weakness with growth contracting 0.1% m/m in May, following a weak April. Retail sales have similarly started to surprise to the downside and the labour market is loosening at a quicker pace. Payrolls have dropped consistently, and unfilled vacancies continue to edge lower. This is further amplified by survey data signalling more reluctant hiring likely attributed to the rise in employers' national insurance contributions and increased uncertainty. On the flip side, wage growth remains elevated, and inflation surprised to the topside in June, which leaves a tricky backdrop for the Bank of England (BoE).
- **Monetary policy**. The BoE held the Bank Rate steady at 4.25% in June, in line with expectations. The vote split was to the dovish side but the broad sentiment in the MPC remains intact, signalling a "careful and gradual" cutting cycle. We continue to expect the BoE to deliver the next 25bp cut in August and deliver quarterly rate cuts at the meetings associated with updated economic projections. We see the risk as skewed towards a swifter cutting cycle amplified by the trade war and more pronounced weakness in the UK economy. We expect the Bank Rate to end the year at 3.75% and see relative rates as a slight positive for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83 and current levels are thus close to fair-value.
- **Positioning.** Non-commercial positioning is slightly short EUR/GBP.
- **Risks.** The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk and/or renewed focus on the UK's fragile fiscal position. Other risks are closely related to the developments in the relative growth outlook between the euro area and the UK.

Forecast: 0.87 (1M), 0.88 (3M), 0.89 (6M), 0.89 (12M)



	1M	3M	6M	12M
Danske Bank	0.87	0.88	0.89	0.89
Consensus	0.86	0.86	0.86	0.87
Forward	0.87	0.87	0.88	0.89

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Since our last update, the pressure on GBP has mounted as the UK economy has showed more pronounced signs of weakness, in particular in the labour market. We increasingly see domestic factors and the relative growth outlook between the UK and the euro area as becoming GBP negatives. Additionally, we think a global investment environment characterised by elevated uncertainty, widening credit spreads and a positive correlation to a USD negative environment, in our view, favours a weaker GBP. We forecast EUR/GBP to move higher towards 0.89 on a 6-12-month horizon.

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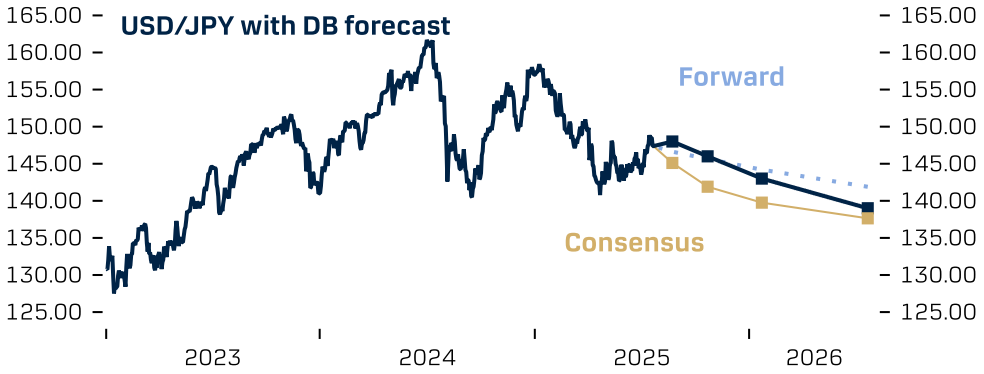
USD/JPY – a relative rates play

- **Cyclical outlook.** The Japanese economy remains relatively resilient, with the Q2 Tankan business survey showing improving sentiment among large manufacturers despite trade war uncertainties, while the service sector remains in close to all-time good mood. PM Ishiba has faced some criticism as he has stubbornly insisted on giving no concessions in trade talks with the US, so far producing no results. Also, the recent election results in the upper house have left Ishiba's ruling coalition weakened, paving the way for political uncertainty and markets pricing in a higher likelihood of more expansionary fiscal policies. We continue to expect domestic demand to firm in H2, underpinned by positive real wage growth. Until now, data have reflected consumers' big loss of purchasing power as food prices soar and spring wage hikes have yet to feed through to data.
- **Monetary policy.** The weak wage data and President Trump's recent threats to reintroduce 25% tariffs on Japan have weighed on investors' outlook for further Bank of Japan (BoJ) hikes this year. Our base case remains that the BoJ will hike again in October, but this is contingent on an improvement in incoming wage data for June/July and a constructive solution to the trade negotiations to pave the way for further wage growth in spring 2026. For USD/JPY, we continue to emphasise that any Fed rate-cutting cycle will remain the dominant driver from a monetary policy perspective.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports this year have nearly closed the gap caused by the pandemic. The tourism sector appears to be rebounding, which could add some JPY demand to the market.
- **Positioning.** Speculators are stretched long positioned in the JPY.
- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay Fed cuts or reverse the US asset sell-off. An energy shock from geopolitical tensions could also pose upside risk.

Forecast: 148 (1M), 146 (3M), 143 (6M), 139 (12M)



	1M	3M	6M	12M
Danske Bank	148	146	143	139
Consensus	145	142	140	138
Forward	147	146	144	142

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** The very considerable JPY strength in the first months of the year has partly reversed despite long end-rate spreads between US and Japan continuing to tighten. Our base case entails that the combination of broader based USD weakness and higher JPY rates will revert the downside pressure on USD/JPY in H2, but we acknowledge the risk of both higher long-end USD yields and that BoJ will not hike rates this autumn. While Japan is in a difficult position in its trade negotiations with the US, any re-escalation in the global trade war is likely to weigh on the cross, similar to April.

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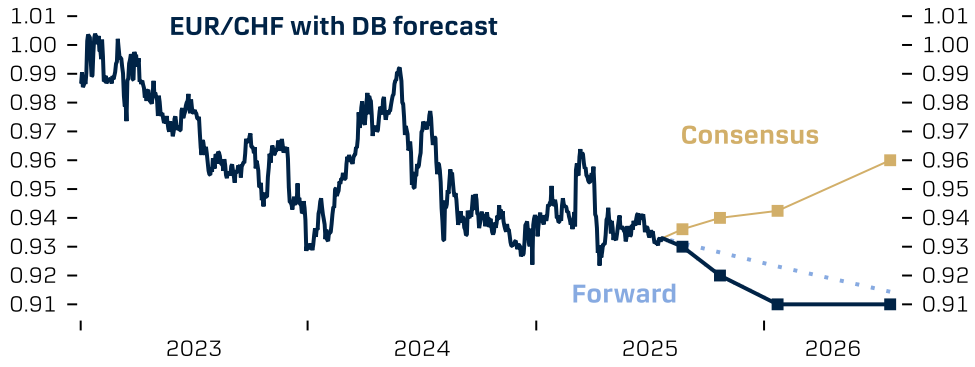
EUR/CHF

Forecast: 0.93 (1M), 0.92 (3M), 0.91 (6M), 0.91 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- EUR/CHF continues to trade to the heavy side with the cross having moved lower over the past month, trading just above the 0.93 mark. We continue to be bearish on EUR/CHF, targeting a sustained move towards 0.91 in 6-12 months.
- As expected, the Swiss National Bank (SNB) cut policy rate to 0%, which we think marks the final cut this cycle. This view was further underscored by a tick-up in inflation in June. By extension, we expect the interest rate spread vis-à-vis the ECB to narrow, which we think will be a more sustainable headwind for EUR/CHF. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risk to this call is aggressive FX intervention from the SNB and a U-turn on the policy outlook in the US, which would trigger substantially lower policy uncertainty.

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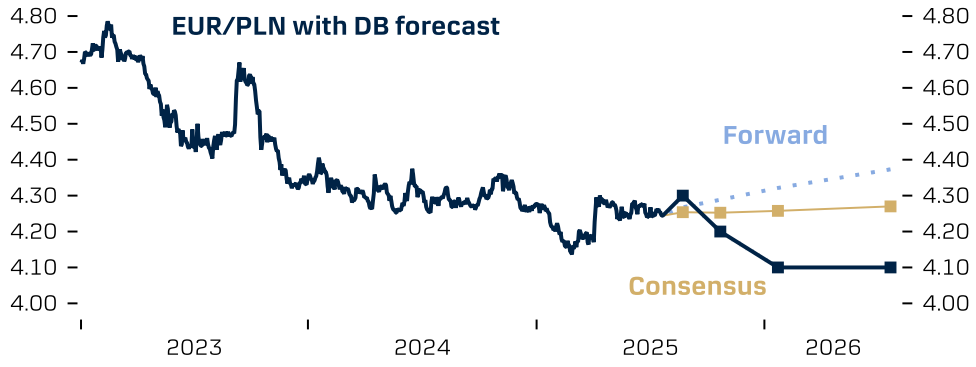
EUR/PLN

Forecast: 4.30 (1M), 4.20 (3M), 4.10 (6M), 4.10 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The National Bank of Poland (NBP) continues with its erratic policy communication. Having previously indicated that the key rate would be kept unchanged over summer, the NBP surprised most analysts by cutting rates to 5% at the July meeting, citing a more benign inflation outlook in the updated staff forecasts. Despite delivering a rather hawkish message at the press conference, mainly highlighting upside risks to inflation, Governor Glapinski evidently sees another cut in September as possible. Market pricing is favoring two more cuts in 2025, which seems plausible given the most recent NBP communication.
- Barring intra-day volatility surges stemming from policy surprises (NBP and the presidential election), EUR/PLN has traded remarkably stable over the past four months, mainly keeping within the 4.25-4.30 interval. We expect the cross to remain around current levels in the near-term (1-3m), but reiterate our positive Zloty bias over the medium-term, although erratic NBP policies add another element of risk across the entire forecast horizon. On balance, we keep our forecast profile intact, targeting the cross at 4.10 in 6-12m.

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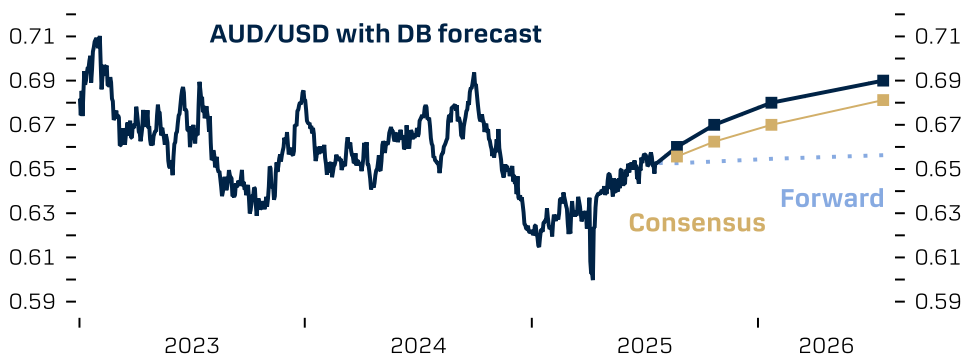
AUD/USD

Forecast: 0.66 (1M), 0.67 (3M), 0.68 (6M), 0.69 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- AUD/USD has remained on a solid footing over the summer supported by positive risk sentiment and hawkish monetary policy.
- The Reserve Bank of Australia (RBA) surprised the markets by maintaining its monetary policy unchanged in July. Markets had expected RBA to deliver its third rate cut after two reductions earlier in the spring. Markets are still pricing in around three more rate cuts over the next 12 months, with the next one arriving likely already in the August meeting.
- Australia's terms of trade have improved gradually over past months as prices of industrial metals have edged higher. Australia has so far avoided higher tariffs from the US, which makes up a relatively small 3-4% share of Australia's total exports. That said, weaker growth in the key export market China, potentially driven by escalating trade tensions with the US, remains a key downside risk for the cross. For now, we maintain our upward-sloping forecast profile unchanged with a 12M target of 0.69.

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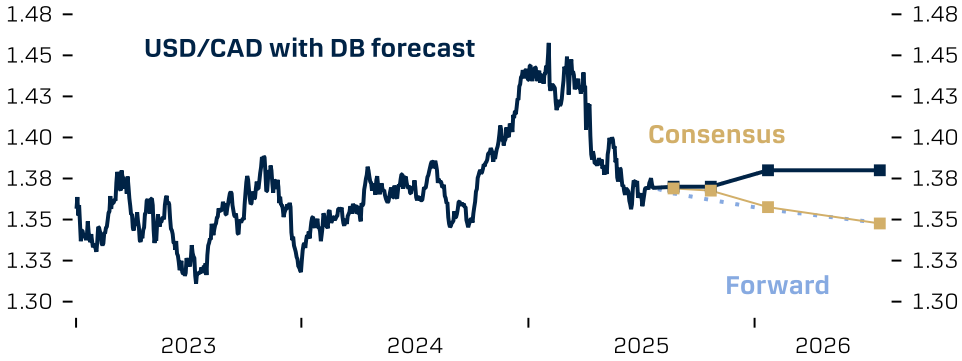
USD/CAD

Forecast: 1.37 (1M), 1.37 (3M), 1.38 (6M), 1.38 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- Fundamentally, our negative long-term view on the USD also has negative implications for the trade weighted CAD with the Canadian currency in principle proving a higher oil-beta version of the USD – except with no reserve currency benefits. USD/CAD is thus in our view a slightly less volatile version of USD/NOK with long-term drivers weighing on the CAD. Going forward, the cross will thus - to a large extent - be a derivative of the state of the US economy, how cyclically sensitive assets perform globally and relative monetary policy.
- As the Bank of Canada (BoC) has front-loaded the easing cycle vis-à-vis the Federal Reserve the case for a sharp rise further in the cross has been diminished somewhat. That said, we continue to pencil in a higher USD/CAD in the years ahead and that both currencies will perform poorly vs the EUR. We factor in one additional rate cut from the BoC while markets are only assigning a roughly 50% probability of this call materialising.

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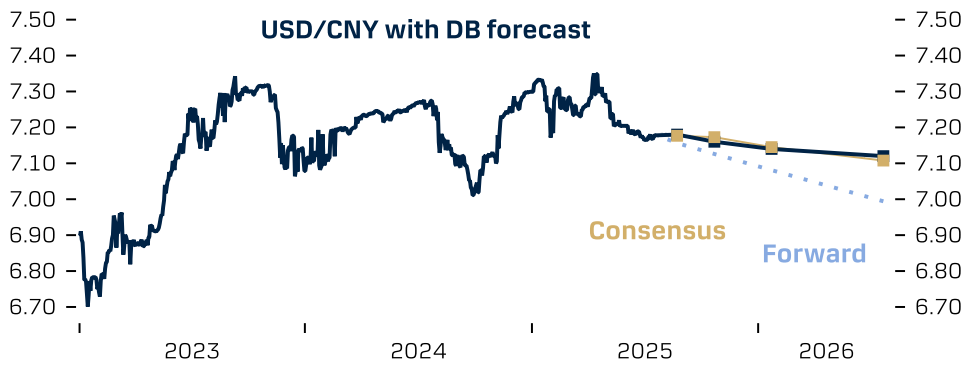
USD/CNY – gradual decline set to continue

- **CNY the past month.** USD/CNY has moved broadly sideways over the past month around the 7.18 level.
- **Growth outlook.** GDP for Q2 dropped to 5.2% y/y from 5.4% y/y in Q1 as exports stayed resilient amid the US-China trade truce, and stimulus is underpinning domestic growth. However, the economy still shows underlying weakness with house prices continuing to fall and retail sales softening in June, suggesting the stimulus from the trade-in subsidy scheme for electronics and EVs is fading. We look for growth to taper off in H2 on weaker export growth and fading effect from stimulus. However, with 5.3% growth in the first half, there is upside risk to our GDP forecast of 4.7% for this year.
- **Monetary policy.** The People's Bank of China (PBOC) cut the policy rate by 10bp and reduced the Reserve Requirement Ratio for banks by 50bp on 6 May. We expect PBOC to be on hold for a while. More easing is possible at the end of the year if growth fails to hold up or if we see more rate cuts from the Fed than expected. Relative rates to the US are expected to go broadly sideways underpinning only limited direction in the USD/CNY cross.
- **FX policy**. Since summer 2023, PBOC has used the USD/CNY fixing more actively to keep the cross more stable. The fixing sets the middle of the +/-2% daily trading band. Recently the fixing has moved moderately lower signalling some willingness from PBOC to let CNY appreciate slowly but moderately, countering any speculation of a devaluation.
- **Flows.** China has a current account surplus of 2% of GDP driven by a high and rising goods trade surplus close to 7% of GDP. The service balance is negative, though, driven by a pick-up in outbound tourists. Net FDI is clearly negative as inbound FDI is weakening while outbound FDI has increased as Chinese companies go global (EV, battery, solar companies etc.).
- **Valuation.** We see the CNY as broadly in line with fundamentals as the moderate C/A surplus is counterweighed by low interest rates relative to other countries and continued structural headwinds to growth.

Forecast: 7.18 (1M), 7.16 (3M), 7.14 (6M), 7.12 (12M)



	1M	3M	6M	12M
Danske Bank	7.18	7.16	7.14	7.12
Consensus	7.18	7.17	7.15	7.11
Forward	7.16	7.13	7.08	6.99

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** The uncertainty to the outlook is generally high due to the unpredictable Trump policies. Domestic risks have decreased somewhat as policy makers have shown a resolve to keep using stimulus to keep growth around the 5% target with fiscal policy being the preferred tool.
- **Conclusion.** We keep our forecast of a gradual decline on a 12M horizon towards 7.12 as we expect a broad dollar weakening to also spill into the USD/CNY cross. EUR/CNY continues to shadow EUR/USD and look for a rising trend in EUR/CNY in line with our forecast of more USD weakening in the medium term.

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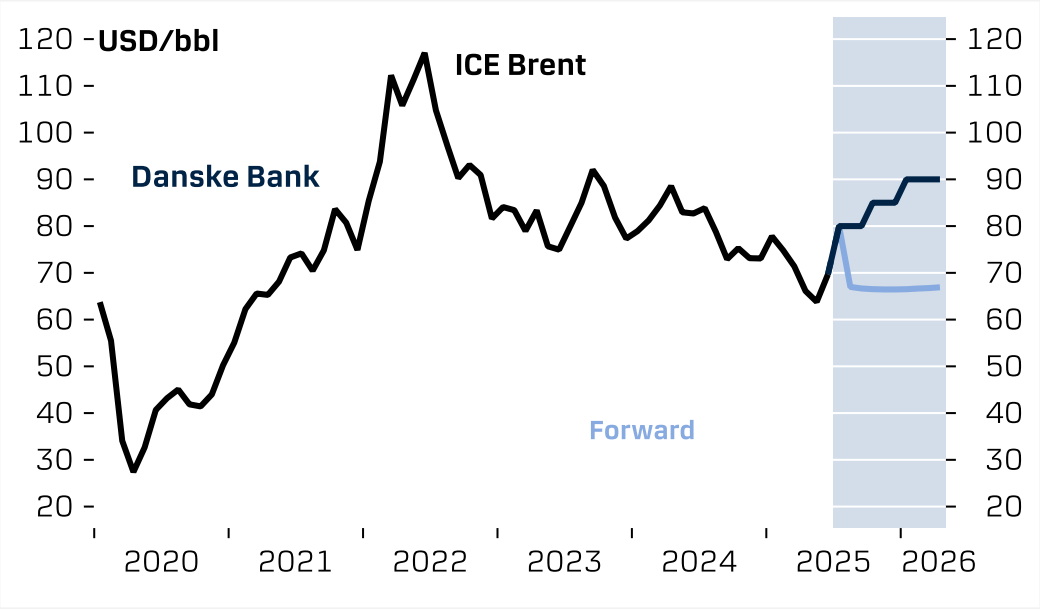
Oil – trade and geopolitical uncertainty

- **Macro.** Saudi Arabia sharply increased its oil output in June, which likely explains why oil prices did not increase more than they did following the escalation of the conflict between Israel and Iran. It proves that strong automatic stabilisers are present in the oil market right now and help mitigate the impact, e.g. from geopolitical uncertainty. The US has continued buying oil for its strategic reserves but could also halt these purchases if global oil supply was hit.
- Tensions between Israel and Iran have eased and with that concerns in the oil market over potential disruptions to global oil supply, e.g. should Israel target Iran's key oil terminal or Iran force a closing of the Strait of Hormuz.
- OPEC+ announced another big output hike in August – the fifth month in a row with production increases. The swift rise in OPEC+ production has added to global oil supply, but the cartel is mulling whether to pause output hikes after August.
- Geopolitics is not the only thing that matters for the oil market. The market looks to key deadlines in trade talks, where tariff hikes, would hit oil prices.
- **Risks.** The risks to our oil price forecast are high – in particular in the short-term, where the outcome space for the conflict in the Middle East and trade talks remains wide. There is also a chance that Russia's energy exports might be hit by more sanctions.
- **Conclusion.** We look for Brent to average USD80/bbl in Q3, USD85/bbl in Q4 and further USD90/bbl next year. As noted above, the uncertainty is particularly high around the Q3 forecast.

Forecast: 80 (Q3), 85 (Q4), 90 (2026)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

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Danske Bank FX forecasts vs EUR

G10				Last Update:	22/07/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.17	1.17	1.19	1.21	1.23
EUR/JPY	172	173	174	173	171
EUR/GBP	0.87	0.87	0.88	0.89	0.89
EUR/CHF	0.93	0.93	0.92	0.91	0.91
EUR/SEK	11.21	11.10	11.20	11.30	11.40
EUR/NOK	11.88	11.90	12.00	12.20	12.40
EUR/DKK	7.4650	7.4600	7.4575	7.4550	7.4550
EUR/AUD	1.79	1.77	1.78	1.78	1.78
EUR/NZD	1.96	1.92	1.92	1.92	1.92
EUR/CAD	1.60	1.60	1.63	1.67	1.70
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.26	4.30	4.20	4.10	4.10
EUR/HUF	399	400	410	420	430
EUR/CZK	24.6	24.7	24.7	24.5	24.5
EUR/TRY	47.3	48.0	50.2	53.4	58.7
EUR/ZAR	20.5	20.6	20.9	21.2	21.4
EUR/CNY	8.38	8.40	8.52	8.64	8.76
EUR/INR	101.1	101.3	103.2	105.0	107.0

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	22/07/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	6.39	6.38	6.27	6.16	6.06
JPY/DKK	4.34	4.31	4.29	4.31	4.36
GBP/DKK	8.61	8.57	8.47	8.38	8.38
CHF/DKK	8.00	8.02	8.11	8.19	8.19
SEK/DKK	0.67	0.67	0.67	0.66	0.65
NOK/DKK	0.63	0.63	0.62	0.61	0.60
EUR/DKK	7.4650	7.4600	7.4575	7.4550	7.4550
AUD/DKK	4.17	4.21	4.20	4.19	4.18
NZD/DKK	3.81	3.89	3.89	3.88	3.88
CAD/DKK	4.67	4.65	4.57	4.46	4.39
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	1.75	1.73	1.78	1.82	1.82
HUF/DKK	0.19	0.19	0.18	0.18	0.17
CZK/DKK	0.30	0.30	0.30	0.30	0.30
TRY/DKK	0.16	0.16	0.15	0.14	0.13
ZAR/DKK	0.36	0.36	0.36	0.35	0.35
CNY/DKK	0.89	0.89	0.88	0.86	0.85
INR/DKK	0.074	0.074	0.072	0.071	0.070

Source: Danske Bank

Danske Bank FX forecasts vs SEK

G10				Last Update:	22/07/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	9.60	9.49	9.41	9.34	9.27
JPY/SEK	6.53	6.41	6.45	6.53	6.67
GBP/SEK	12.93	12.76	12.73	12.70	12.81
CHF/SEK	12.02	11.94	12.17	12.42	12.53
EUR/SEK	11.21	11.10	11.20	11.30	11.40
NOK/SEK	0.94	0.93	0.93	0.93	0.92
DKK/SEK	1.50	1.49	1.50	1.52	1.53
AUD/SEK	6.26	6.26	6.31	6.35	6.40
NZD/SEK	5.72	5.79	5.84	5.88	5.93
CAD/SEK	7.01	6.92	6.87	6.77	6.72
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.63	2.58	2.67	2.76	2.78
HUF/SEK	2.81	2.78	2.73	2.69	2.65
CZK/SEK	0.46	0.45	0.45	0.46	0.47
TRY/SEK	0.24	0.23	0.22	0.21	0.19
ZAR/SEK	0.55	0.54	0.54	0.53	0.53
CNY/SEK	1.337	1.321	1.314	1.308	1.302
INR/SEK	0.111	0.110	0.109	0.108	0.107

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	22/07/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	10.17	10.17	10.08	10.08	10.08
JPY/NOK	6.91	6.87	6.91	7.05	7.25
GBP/NOK	13.70	13.68	13.64	13.71	13.93
CHF/NOK	12.74	12.80	13.04	13.41	13.63
SEK/NOK	1.06	1.07	1.07	1.08	1.09
EUR/NOK	11.88	11.90	12.00	12.20	12.40
DKK/NOK	1.59	1.60	1.61	1.64	1.66
AUD/NOK	6.63	6.71	6.76	6.86	6.96
NZD/NOK	6.06	6.20	6.25	6.35	6.45
CAD/NOK	7.43	7.42	7.36	7.31	7.31
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.79	2.77	2.86	2.98	3.02
HUF/NOK	2.98	2.98	2.93	2.90	2.88
CZK/NOK	0.48	0.48	0.49	0.50	0.51
TRY/NOK	0.25	0.25	0.24	0.23	0.21
ZAR/NOK	0.58	0.58	0.57	0.58	0.58
CNY/NOK	1.42	1.42	1.41	1.41	1.42
INR/NOK	0.12	0.12	0.12	0.12	0.12

Source: Danske Bank

Danske Bank FX forecasts vs USD

G10				Last Update:	22/07/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.17	1.17	1.19	1.21	1.23
USD/JPY	147	148	146	143	139
GBP/USD	1.35	1.34	1.35	1.36	1.38
USD/CHF	0.80	0.79	0.77	0.75	0.74
USD/SEK	9.60	9.49	9.41	9.34	9.27
USD/NOK	10.17	10.17	10.08	10.08	10.08
USD/DKK	6.39	6.38	6.27	6.16	6.06
AUD/USD	0.65	0.66	0.67	0.68	0.69
NZD/USD	0.60	0.61	0.62	0.63	0.64
USD/CAD	1.37	1.37	1.37	1.38	1.38
EM					
	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.64	3.68	3.53	3.39	3.33
USD/HUF	342	336	345	347	350
USD/CZK	21.07	21.11	20.76	20.25	19.92
USD/TRY	40.42	41.00	42.20	44.10	47.70
USD/ZAR	17.56	17.60	17.59	17.53	17.41
USD/CNY	7.17	7.18	7.16	7.14	7.12
USD/INR	86.37	86.60	86.70	86.80	87.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	22/07/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.35	1.34	1.35	1.36	1.38
GBP/JPY	198	199	197	194	192
EUR/GBP	0.87	0.87	0.88	0.89	0.89
GBP/CHF	1.08	1.07	1.05	1.02	1.02
GBP/SEK	12.93	12.76	12.73	12.70	12.81
GBP/NOK	13.70	13.68	13.64	13.71	13.93
GBP/DKK	8.61	8.57	8.47	8.38	8.38
GBP/AUD	2.07	2.04	2.02	2.00	2.00
GBP/NZD	2.26	2.20	2.18	2.16	2.16
GBP/CAD	1.84	1.84	1.85	1.88	1.91
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.91	4.94	4.77	4.61	4.61
GBP/HUF	460	460	466	472	483
GBP/CZK	28.40	28.39	28.07	27.53	27.53
GBP/TRY	54.53	55.14	57.07	59.96	65.92
GBP/ZAR	23.66	23.67	23.79	23.83	24.06
GBP/CNY	9.67	9.66	9.68	9.71	9.84
GBP/INR	116.61	116.46	117.24	118.01	120.24

Source: Danske Bank

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